

Heilman Auto Group

Ardmore · West Chester · Hatboro, Pennsylvania · Established 1986

PREPARED FOR **Jack Heilman, Owner**
SUBJECT **Margin recovery & shop-floor efficiency**
DATE **June 2026**

Three core margin levers plus the moves that enable them, each modeled on conservative assumptions. Two require zero capital and can move this week. Every dollar figure is directional and should be re-run against live repair-order, payroll, and parts-invoice data before final commitment.

WHAT'S INSIDE

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|----------|---|---------------------|
| 1 | Margin Recovery Brief
The three levers on one page — labor rate, shop supplies, Tekmetric — and the combined opportunity. | ~\$619K / yr |
| 2 | The Reason Why
Each recommendation stripped to the single justification an owner can repeat to a skeptic. | 5 moves |
| 3 | Calculator Snapshots
The inputs and headline math behind each lever — labor rate, Tekmetric ROI, shop supplies fee. | 3 models |

All currency computed in integer cents — no floating-point error. Figures assume ~9 productive techs, 50–52 working weeks, ~600 ROs/mo across 3 locations; replace with live data before commitment. Levers are independent; consumables recovery is counted once (Shop Supplies), excluded from the Tekmetric figure to avoid double-count. | Prepared by CFO Agent.

Three independent levers, each modeled on conservative inputs. **Two require zero capital and can move this week.** The numbers below are directional and assumption-driven — every figure is adjustable in the live calculators and should be re-run against real RO, payroll, and parts-invoice data before final commitment.

1

Labor Rate Correction
\$139 → \$169 / hr
+\$432K
per year · +\$36K/mo

- ~100% margin — no added parts or labor cost
- 14,400 billed hrs × \$30 uplift
- Same wrenches, same bays
- Needs: portal + ELR proof to defend

2

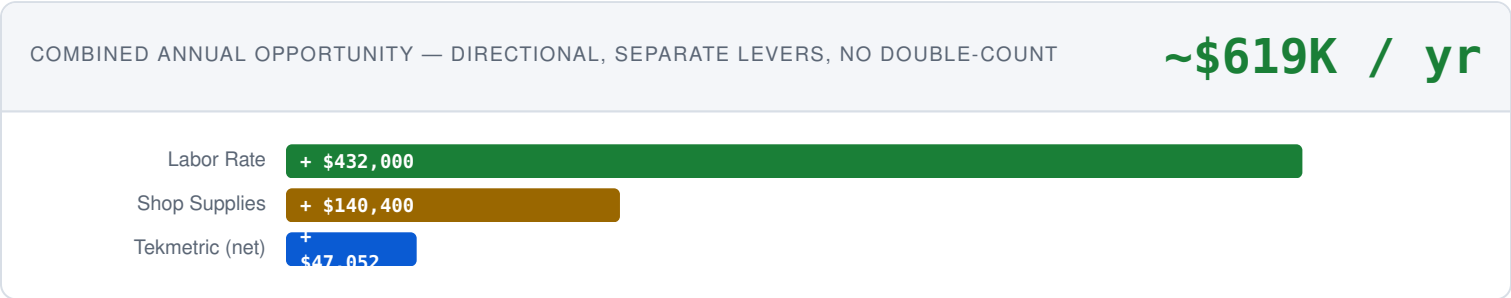
Shop Supplies Fee
7% of labor · capped \$40
+\$140K
per year · +\$11.7K/mo

- Zero CapEx — live this week
- Recovers consumables invisibly
- Kills \$3 nickel-and-dime friction
- Trust win + margin in one move

3

Tekmetric (vs. Pen & Paper)
\$1,500/mo · 3 locations
8.3 days
to pay for itself / month

- \$3.61 back on every \$1
- +\$47K/yr net — labor recovery alone
- Bulletproof PA-compliant audit trail
- Idle-bay + collections = pure upside



EXECUTION SEQUENCE

- 1 Shop Supplies Fee — this week. No capital, immediate margin + goodwill. Disclose as its own RO line.
- 2 Tekmetric eval — start now. The platform that captures unbilled labor, automates the supplies fee, and creates the PA audit trail. Pays for itself by the 9th.
- 3 Labor rate to \$169 — once portal + ELR proof are in hand. The big dollar lever; the digital front door is what justifies premium pricing.

NON-NEGOTIABLE: PA COMPLIANCE

ITEMIZE OR LOSE.

Every estimate must be exact, itemized, and carry documented pre-authorization. A disputed handwritten, unsigned estimate loses 100% of the time. The shop-supplies fee must appear as its own disclosed line. Tekmetric's timestamped digital authorization converts this liability into an asset.

All currency computed in integer cents – no floating-point error. Figures assume 9 productive techs, 50–52 working weeks, 600 ROs/mo across 3 locations; replace with live shop data before commitment. Levers are independent and additive at the stated assumptions; consumables recovery is counted once (Shop Supplies), excluded from the Tekmetric figure to avoid double-count. | Prepared by CFO Agent · Heilman Auto Group

Every recommendation, stripped to the single reason it earns its place. No fluff — the logic an owner can repeat to a skeptical partner.

1 Raise the labor rate — \$139 → \$169/hr

~100% margin · +\$432K/yr

\$139 trails the going rate in this market. Comparable independent shops across the affluent Main Line and Chester County corridor sit higher, and a brand-new shop in the area opened at \$170. A rate increase is the **only lever that carries almost no added cost**: no extra parts, no extra labor, no extra bay time. It's the highest-margin dollar on the board, and staying at \$139 leaves money on the table on every single ticket.

BOTTOM LINE

New shops in your market price at \$170. \$139 is below where your own neighborhood already is.

2 Roll fluids into a Shop Supplies Fee — 7% of labor, capped \$40

Zero CapEx · +\$140K/yr · live this week

Charging \$3 for washer fluid or a half-quart of oil saves pennies and costs relationships. A customer who feels nickel-and-dimed over consumables walks before the \$1,500 brake-and-suspension job. A **capped percentage fee recovers the real consumables cost invisibly** across the whole ticket, while giving away the minor top-off buys goodwill that pays back many times over. It trades a resentment-generating line item for a structural fee nobody blinks at.

BOTTOM LINE

Stop winning the \$3 fight and losing the \$1,500 customer.

3 Adopt Tekmetric — replace pen-and-paper across all 3 shops

\$1,500/mo · pays for itself by the 9th · \$3.61 back per \$1

The monthly subscription isn't a cost — it's the cheapest revenue you'll ever buy back. Paper guarantees techs forget to log the last 0.2 hours of diag and cleanup; that leakage alone covers the entire system in the **first week and a half of every month**. It also kills the phone-vs-online double-bookings that leave bays idle, and it timestamps every digital authorization — turning your single biggest compliance liability into a bulletproof audit trail.

BOTTOM LINE

Pen-and-paper isn't free. It's the most expensive system in the building.

4 Reprice diagnostics to 1.0 hr of the new rate — and add a Video Evidence protocol

\$100 → \$160+ · higher close rate on the repair that follows

Diag takes your most expensive tools and your most skilled brainpower — charging less than your own labor rate for it devalues the expertise that traces a CAN-bus fault or EVAP leak. Pegging diag to a full hour of the new rate prices the skill correctly. The **video is what makes the higher fee unquestionable**: when the customer watches the failure on screen, authorization on the recommended repair climbs. The diag fee pays for the brainpower; the video pays for the upsell.

BOTTOM LINE

Charge for the expertise, then prove it on camera so nobody argues the bill.

5 Upgrade the digital front door — portal, online scheduling, digital authorization

Buy the platform first · custom build only if proven

A 2011 WordPress brochure can't justify a \$169 rate, can't take a digital authorization, and can't deliver the video or DVI that lifts average repair order. The portal is the **enabler underneath every other move** — it's what makes premium pricing credible and what makes PA pre-authorization a signed, timestamped record instead of a legal exposure. Buy the proven platform first; only custom-build once the ARO lift is real. First-time-right beats experimental.

BOTTOM LINE

The modern front door is what lets you charge — and defend — premium prices.

Effective Labor Rate — Revenue Recovery

What every hour at \$139 instead of \$169 is costing.

INPUTS

PRODUCTIVE TECHS 9	BILLED HRS / TECH / WEEK 32	WORKING WEEKS / YEAR 50
CURRENT RATE \$139	PROPOSED RATE \$169	ANNUAL BILLED HOURS 14,400

REVENUE RECOVERY — SAME WRENCHES, SAME BAYS		
ADDED / MONTH \$36,000	ADDED / YEAR \$432,000	ADDED MARGIN ~100%

Current revenue @ \$139 (14,400 hrs)	\$2,001,600
Proposed revenue @ \$169	\$2,433,600
Recovered gross margin / year	+ \$432,000

BOTTOM LINE

The rate increase carries almost no added cost — no extra parts, labor, or bay time. It's the highest-margin lever on the board.

DELTA = billed_hrs × (proposed – current). All currency computed in integer cents. Replace inputs with live shop data before commitment.

Tekmetric ROI — Days to Payback

Conservative, labor-recovery only. Consumables counted once in the Shop Supplies model, so nothing is double-counted.

INPUTS

COST / LOCATION / MONTH \$500	LOCATIONS 3	SYSTEM COST / MONTH \$1,500
PRODUCTIVE TECHS 9	LOST HRS / TECH / WEEK 1.0	LABOR RATE · WEEKS \$139 · 52

IT PAYS FOR ITSELF IN THE FIRST WEEK AND A HALF OF EVERY MONTH

DAYS TO PAYBACK 8.3	RETURN / \$1 SPENT \$3.61	BREAK-EVEN 10.8 hrs/mo
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Recovered unbilled labor / year	+ \$65,052
Tekmetric system cost / year	− \$18,000
Net annual gain	+ \$47,052

BOTTOM LINE

Pen-and-paper isn't free — it's the most expensive system in the building. Not counted here, all upside: idle-bay recovery, faster collections, and the PA-compliant audit trail.

labor = techs × lost_hrs × weeks × rate · days = (monthly cost ÷ monthly recovery) × 30. Conservative defaults — push lost-hours up to your real number and payback drops.

Shop Supplies Fee — Trust Arbitrage

Recover consumables invisibly while giving away the \$3 top-offs.

INPUTS

REPAIR ORDERS / MONTH 600	AVG LABOR / RO \$450	CONSUMABLES / RO \$12
FEE — % OF LABOR 7.0%	HARD CAP / RO \$40	BREAK-EVEN FEE % 2.7%

NET MARGIN AFTER RECOVERING CONSUMABLES COST		
NET / REPAIR ORDER \$19.50	NET / MONTH \$11,700	NET / YEAR \$140,400

Fee charged / RO (7% of \$450, under cap)	\$31.50
Consumables cost recovered / RO	— \$12.00
Net margin / RO	+ \$19.50

BOTTOM LINE

Stop winning the \$3 fight and losing the \$1,500 customer. Zero capital, live this week.

charged = min(round(labor × bp ÷ 10000), cap). PA compliance: the shop-supplies fee must be disclosed and itemized as its own line.